

CHAPTER 5

Views of interested parties

150. In addition to seeking the views of operators of cross-Channel car ferries falling within the reference and of dock and harbour authorities concerned with the terminal ports in the United Kingdom of the cross-Channel car ferry routes, we sought the views of interested Government Departments, bodies representing those employed in the operation of cross-Channel car ferry services and bodies representing users of such services. We also received letters setting out the views of individuals interested in the subject-matter of the reference.

The Trades Union Congress

151. As regards bodies representing those employed in operating cross-Channel car ferries, we approached the Trades Union Congress which in reply forwarded to us submissions from the Transport and General Workers' Union, the Merchant Navy and Airline Officers' Association and the Transport Salaried Staffs' Association. The Trades Union Congress said that from these submissions it appeared that, broadly speaking, rate-fixing and other agreements concerning cross-Channel ferries were not regarded as against the public interest, and summarised the reasons put forward as follows:

- (i) adequate profits were needed to finance investment by the operators which had been high;
- (ii) they had so far upheld the very high safety standards needed in the Channel and necessitating special duties by seafarers who were therefore on conditions of employment above National Maritime Board standards;
- (iii) the highly seasonal nature of the traffic necessitated a reasonable assessment of potential income to enable the operators to continue to provide their services as scheduled;
- (iv) any major interference with the existing arrangements would present foreign operators with increased advantages which would adversely affect British job opportunities and other interests.

152. The Trades Union Congress reported, however, that some reservations were made by the Transport and General Workers' Union about the Harmonisation Conference and the rise in passenger fares on the Southampton routes.

The National Union of Seamen

153. We consulted the National Union of Seamen separately from the Trades Union Congress which had suspended it from membership of the Congress.

The National Union said that it was convinced that the system of price-fixing had ensured the expansion of British shipping with the ultimate result of further employment for British seamen.

Bodies representing users of cross-Channel car ferry services

154. As stated in paragraph 150 above, we consulted bodies representing users of cross-Channel car ferry services. In general, they expressed some degree of acquiescence in the existence of the Harmonisation Conference while criticising its consequences. The Association of British Travel Agents said that it felt that there were extenuating circumstances for the monopoly. An association representing caravanners, while to some extent critical of the harmonisation arrangements, stated that it considered that a conference to decide fares was essential. An organisation representing motorists said that it saw obvious advantages in harmonisation of fares but that a direct result of this policy would seem to be relatively high fares; on the other hand, it went on to say that any modification of the present system which resulted in a smaller or less frequent choice for the intending customer would be unwelcome.

Comparison with other car ferries

155. Several of those consulted made unfavourable comparisons between the fares on cross-Channel car ferries and those charged on other car ferries, especially those in Scandinavia. We put this argument to the operators of shipping services within the Conference; and some of our staff visited Scandinavia to study the relevance of such comparisons.

Charges for high vehicles

156. Several of the bodies representing travellers argued to us that there was no justification for a surcharge on motor-caravans exceeding 6½ feet* in height except on those few ships on which such vehicles would not fit under decking and could only be carried in a restricted area. We put this criticism to the operators.

Profits on duty-free goods

157. The Automobile Association, in addition to representations regarding fare levels, uniformity of fares and the quality and standard of accommodation, complained of the high profits made by the operators of cross-Channel car ferry services on the sale of duty-free goods. The Association argued that an unreasonable proportion of the total revenue of the operators resulted from excessive profits on duty-free sales. The Association alleged uniformity in the price lists of British Rail ships and hovercraft and of Townsend-Thoresen Ferries for these goods. We put this criticism to the operators. We are satisfied that the price of duty-free goods is not the subject of any agreement between the operators, either through the Harmonisation Conference or independently of it. A comparison of the price lists showed that the prices charged by different operators, though not greatly divergent from one another, were not identical.

* 6 feet on the Southampton routes.

Conditions of carriage

158. The Automobile Association complained that the conditions of sale of passage tickets contained 'catch-all exemption clauses that exclude the carriers' liability for loss, damage or delay caused by the actual neglect or default of ships' crew and navigation errors'. It concluded that the exclusion clauses were inequitable and that the carrier companies should make greater efforts to ensure that the motorist was informed of his risks so that those who wished might insure against them. An organisation representing motorists also complained about the effects of the conditions in contracts relating to the transportation of motor vehicles. We put this criticism to the operators although conditions of carriage are not subject to agreement between them and therefore do not appear to be related to any of the restrictive agreements to which they are parties.*

* The operators explained that conditions of carriage were not agreed between them though similar conditions were fairly common among carriers. One of the operators added that its brochures indicated that carriage was subject to its conditions of carriage.